



FITLER MBA · SESSION 04

Financial Foundations

Three camera angles on one company.

You mapped the model.

Tonight: does the business make money — and what does it own and owe?

- **S03** gave you the model — the set of bets, and the unit economics.
- **Tonight** is the language those bets are written in: the financial statements.
- **Next session** is the machine: a financial model you can drive.

Three camera angles, one company



Balance Sheet

A photo of one instant

What the company owns, what it owes, and the owner's slice — frozen at a moment in time.



P&L

A film of one period

Revenue in, costs out — did the month make money? A story with a beginning and an end.



Cash Flow

The bank-account truth

Profit is an opinion; cash is a fact. The third angle — we build it next session.

Tonight: we build the first two — from nothing, one event at a time.

Words you know, deliberately not tonight

Pro forma

these same statements pointed **forward** — tonight's closer, built in **S05**

Taxes

Franklin's runs pre-tax tonight — taxes enter the cascade in **S05**

Free cash flow

belongs to the third statement — **S05**

Book value vs. company value

the balance sheet says what the shop **owns**, not what the company is **worth** — that gap is its own session

The deal: you know these words — park them for ninety minutes. Each one has an address in this program.

Understanding Double Entry Accounting

Total Assets

Assets

Cash

Accounts Receivable

Inventory

Prepaid Expenses

Property & Equipment

Intangible Assets

Long-Term Investments

Total Liabilities & Equity

Liabilities

Accounts Payable

Accrued Expenses

Deferred Revenue

Short-Term Debt

Long-Term Debt

Equity

Paid-in Capital

Retained Earnings

The trickle-down

Revenue	EVERYTHING SOLD
Cost of Goods Sold	– THE COST OF WHAT YOU SOLD
Gross Profit	THE PRODUCT WORKS
Operating Expenses	– THE COST OF RUNNING THE SHOP
EBITDA	THE OPERATION WORKS
Depreciation & Amortization	– WEAR AND TEAR
EBIT	THE BUSINESS WORKS
Interest	– THE BANK’S CUT
<i>Taxes</i>	PARKED · S05
Net Income	→ RETAINED EARNINGS

Watch for it tonight: net income doesn’t stop at the bottom line — it flows into the Balance Sheet. That bridge is the whole idea.

TIME TO BUILD

Meet Franklin's Bagels

A Philly bagel shop, month one, built live — one financial event at a time.

→ switch to the live board · events 1-8

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REINFORCEMENT · YOU BUILT ALL OF THESE

The vocabulary you earned tonight

Double entry

Paid-in capital

Long-term vs. current debt

Inventory

COGS

Gross vs. net

Operating expense

EBITDA

Depreciation

Accrual & accounts payable

Accounts receivable

Principal vs. interest

Retained earnings

Every one of these appeared on the board before it appeared on a slide. That order is the point.

Rear-view mirror, windshield

What we built tonight

The rear-view mirror

- Historical statements — what already happened.
- True, precise, and audited by one green chip.
- Every number came from a real event.

The pro forma

The windshield

- The **same statements**, pointed forward.
- Driven by assumptions instead of events.
- The links become **formulas** — which is why it lives in a spreadsheet.

| *Next session: we build one you can drive.*

Run your own month

- **Replay it** — flip to Explore mode and run Franklin's month again at your own pace.
- **Extend it** — run a second month of Franklin's with your own events, or map *your* business's month one.
- **Go deeper** — the take-home tier: amortization (depreciation's twin for intangibles), and for every event ask: *what would cash-basis books show?*

Post to Discourse at fitlermba.com — your board, your second month, or the event that broke your brain. That thread is next session's fuel.

● $A \$82,850 = L \$30,800 + E \$52,050$

It always balances.

Next: the third camera angle — and a model you can drive.

S05 · Financial Modeling: cash flow, the pro forma, and
the month ahead.